T-12 OPERATING STATEMENT

Elmhurst Commons | Boise, ID

Property	Elmhurst Commons
Period Ending	February 22, 2025
Basis	Accrual - Trailing 12 Months
Prepared By	Orion Commercial Management
Size	380 apartment homes

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	776,271	789,094	808,393	791,160	730,829	795,347	814,854	812,603	771,044	785,064	826,058	772,520	9,473,238
4010 Loss to Lease	295,367	311,878	280,716	292,918	310,248	277,772	280,938	280,251	292,282	315,058	294,223	283,938	3,515,589
4020 Vacancy Loss	401,389	424,546	407,988	417,703	389,906	427,149	430,303	433,076	407,309	438,736	401,508	418,458	4,998,071
4030 Concessions	404,046	401,635	363,905	410,532	408,323	385,965	394,419	416,634	373,467	406,327	416,835	378,220	4,760,307
4040 Bad Debt	316,248	321,270	341,460	313,426	339,266	315,952	310,289	326,815	321,803	321,345	334,907	344,150	3,906,931
4050 Late Fees	190,119	193,880	195,821	180,666	205,448	190,280	197,117	181,124	197,081	198,766	207,229	188,164	2,325,694
4060 Utility Reimbursements	92,662	96,400	95,131	95,054	89,893	91,492	93,559	89,400	89,098	92,819	92,426	93,467	1,111,401
4070 Parking Income	163,182	166,433	170,816	166,114	185,258	166,582	171,009	179,556	178,179	169,876	184,632	181,312	2,082,950
4080 Application Fees	465,540	478,764	528,227	476,342	478,746	522,848	506,048	469,134	505,960	502,629	506,815	516,932	5,957,985
4090 Pet Rent	587,335	531,910	566,214	569,181	585,965	558,060	598,511	531,593	592,295	532,386	550,873	579,827	6,784,150
4100 Laundry Income	457,620	435,257	464,030	466,678	486,918	469,874	444,414	434,930	480,586	446,693	445,686	488,244	5,520,927
4110 Cable/Internet Revenue	453,795	478,290	476,937	502,359	485,731	478,536	473,675	467,936	499,401	448,532	458,212	468,237	5,691,642
4120 CAM Reimbursements	608,258	594,032	607,751	583,327	610,187	581,949	567,429	596,387	600,554	612,257	620,027	592,069	7,174,226
4130 Tax Reimbursements	303,807	309,642	328,499	298,729	325,716	309,919	293,528	308,293	325,127	321,523	299,374	299,080	3,723,237
4140 Insurance Reimbursemen	629,200	687,374	640,189	655,480	660,081	692,199	643,007	624,728	672,862	695,069	686,211	636,914	7,923,313
4150 Percentage Rent	406,065	444,471	442,285	410,197	449,850	440,086	399,256	401,929	448,613	395,071	450,047	439,635	5,127,504
4160 Misc. Income	61,580	60,493	62,490	60,916	61,367	63,687	58,721	63,717	62,735	66,920	61,262	62,624	746,512
4170 Payroll - Management	43,178	45,557	44,811	47,223	44,734	42,593	41,842	45,484	41,427	44,655	43,504	41,785	526,794
4180 Payroll - Leasing	47,117	52,085	51,775	46,850	47,524	52,634	47,112	49,408	52,009	47,918	50,076	51,032	595,540
4190 Payroll - Maintenance	57,245	60,431	53,570	60,020	55,223	55,633	55,900	59,065	57,227	57,304	59,475	60,276	691,368
4200 Payroll Taxes & Benefits	56,213	55,523	50,529	54,554	53,813	51,509	54,008	56,276	53,858	56,379	56,244	56,912	655,819
4210 Repairs - Plumbing	8,284	8,899	9,178	8,562	9,186	8,965	9,077	8,910	9,377	9,317	8,842	9,370	107,967
4220 Repairs - HVAC	14,051	13,506	14,323	14,088	12,890	12,902	13,421	12,859	13,265	12,961	13,734	14,588	162,589
4230 Repairs - Electrical	91,961	89,492	92,980	91,153	89,077	83,250	94,964	94,124	87,538	91,968	89,881	90,758	1,087,148
4240 Repairs - Appliances	56,231	51,992	52,555	50,529	54,553	56,320	55,590	53,112	54,068	56,562	56,308	51,762	649,581
4250 Painting & Decorating	25,767	24,437	23,652	25,227	25,654	23,560	23,907	26,009	24,678	23,642	23,881	24,225	294,638
4260 Flooring	50,669	44,393	50,125	49,973	46,905	48,258	44,423	46,884	48,741	46,157	45,019	50,953	572,501

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4450 Licenses & Permits	91,854	92,488	93,686	91,163	95,789	97,099	91,960	86,005	89,454	93,053	88,888	85,622	1,097,063
4460 Management Fee	94,745	84,767	92,653	90,081	95,859	86,351	93,825	84,164	88,039	86,794	88,177	84,191	1,069,646
4470 Property Insurance	56,562	57,145	51,267	53,935	54,720	52,279	56,463	57,248	53,263	55,693	56,137	52,762	657,475
4480 Real Estate Taxes	29,084	30,111	31,076	28,823	31,083	30,982	30,981	29,531	27,746	29,047	28,644	30,392	357,501
4490 Asset Management Fee	69,383	69,447	70,024	67,498	64,355	65,972	65,093	72,217	68,852	70,726	71,274	64,447	819,287
4500 Replacement Reserves	86,522	80,741	79,901	86,571	84,792	80,560	84,092	78,927	85,752	81,910	80,287	80,413	990,468
4510 Roof Repairs	60,125	58,730	58,433	55,549	61,517	55,327	62,536	62,728	62,533	57,056	56,992	60,573	712,099
4520 Parking Lot Repairs	68,246	66,653	64,899	70,043	61,912	63,113	62,678	62,593	68,320	69,426	62,138	67,238	787,260
4530 Signage	97,225	87,721	92,980	94,891	86,271	92,471	98,522	89,788	91,364	95,639	93,945	90,974	1,111,790
4540 Tenant Improvements	34,968	35,967	34,749	34,981	36,140	32,607	32,839	32,271	34,796	32,539	32,207	33,631	407,696
4550 Leasing Commissions	53,486	58,279	54,022	59,464	58,069	54,543	56,718	54,026	61,355	60,172	54,733	58,524	683,393
4000 Gross Potential Rent	824,156	755,344	728,569	832,842	773,901	755,875	834,447	819,265	731,881	811,846	728,288	766,164	9,362,576
4010 Loss to Lease	30,749	31,780	31,857	30,396	30,157	32,547	33,376	32,146	30,722	33,268	32,959	34,187	384,143
4020 Vacancy Loss	669,415	641,957	629,177	665,240	608,209	664,059	605,819	635,522	676,612	613,540	603,545	631,650	7,644,746
4030 Concessions	88,440	91,749	85,772	94,859	87,469	94,246	89,235	95,432	97,430	88,086	95,971	94,520	1,103,210
4040 Bad Debt	718,940	648,746	725,985	708,646	677,566	693,251	688,216	704,805	653,326	696,314	662,185	659,527	8,237,507
4050 Late Fees	459,379	511,569	522,113	501,221	472,056	521,775	469,819	480,650	469,355	455,220	476,395	459,717	5,799,268
4060 Utility Reimbursements	508,344	540,527	494,820	543,493	496,904	495,770	535,529	499,924	485,827	501,320	505,881	497,115	6,105,453
4070 Parking Income	279,408	275,179	256,621	254,456	281,621	274,579	259,498	276,575	257,090	286,932	276,548	260,585	3,239,093
4080 Application Fees	145,278	141,420	155,661	139,037	139,157	136,100	145,566	142,037	139,467	145,836	137,703	137,488	1,704,750
4090 Pet Rent	80,663	76,387	76,535	81,769	86,478	80,765	84,201	80,142	87,104	82,984	79,117	83,781	979,927
4100 Laundry Income	292,370	294,414	301,106	314,518	289,889	307,065	290,818	292,715	289,059	319,070	323,350	302,258	3,616,634
4110 Cable/Internet Revenue	415,859	380,630	388,067	402,180	408,492	371,766	393,007	377,763	372,498	370,352	372,669	391,723	4,645,006
4120 CAM Reimbursements	240,894	245,006	256,395	242,233	246,622	262,044	263,781	261,929	263,073	250,769	240,307	247,260	3,020,314
4130 Tax Reimbursements	346,142	360,289	327,682	331,137	341,279	355,807	358,534	324,619	346,739	319,948	327,651	344,661	4,084,487
4140 Insurance Reimbursemen	10,957	10,435	10,974	10,908	10,249	10,381	10,035	10,617	10,445	10,708	10,977	11,316	128,002
4150 Percentage Rent	253,803	254,610	272,519	255,023	260,966	247,952	249,692	277,314	261,775	257,193	254,367	247,915	3,093,129
4160 Misc. Income	442,715	428,269	397,215	423,841	415,783	398,233	451,982	436,621	452,537	432,193	399,085	402,218	5,080,692
4170 Payroll - Management	12,277	11,459	11,650	11,680	11,686	11,514	11,988	11,762	11,647	12,143	12,101	11,536	141,442
4180 Payroll - Leasing	33,663	35,092	38,369	33,514	35,558	33,543	38,049	34,317	33,444	33,580	35,098	34,696	418,924
4190 Payroll - Maintenance	25,340	23,519	25,136	25,272	25,335	24,691	24,721	23,719	24,684	25,181	24,555	23,223	295,377
4200 Payroll Taxes & Benefits	38,874	38,048	42,140	37,826	41,749	37,951	41,041	41,245	39,210	38,910	40,796	43,028	480,817
4210 Repairs - Plumbing	91,781	89,741	95,409	92,368	92,708	87,206	92,602	89,489	97,153	89,955	97,597	91,472	1,107,481
4220 Repairs - HVAC	14,154	14,004	13,580	13,261	13,367	12,774	14,529	13,705	12,885	13,017	14,399	13,782	163,458
4230 Repairs - Electrical	52,041	50,724	46,728	51,824	50,553	49,694	47,037	51,139	51,599	46,327	51,479	46,971	596,116
4240 Repairs - Appliances	10,678	11,435	10,577	11,279	10,713	10,973	11,007	11,009	11,444	10,726	10,127	11,041	131,008
4250 Painting & Decorating	62,143	63,929	61,682	66,929	68,843	64,799	69,927	67,677	68,918	63,056	66,028	67,541	791,473
4260 Flooring	44,391	45,281	47,100	50,192	48,342	45,889	50,549	49,631	45,577	48,116	45,046	47,081	567,194
4270 Make-Ready / Turnover	39,178	39,257	40,380	37,370	36,486	40,614	40,930	35,896	38,530	39,606	40,938	38,276	467,462
4280 Landscaping Contract	60,404	57,153	58,353	57,609	60,576	57,041	53,891	56,686	58,255	56,549	56,404	59,488	692,409
4290 Snow Removal	22,394	21,269	20,302	20,754	21,010	20,194	20,760	21,656	19,873	21,727	22,406	21,658	254,003
4300 Janitorial	62,845	62,954	64,515	61,785	63,842	59,184	59,655	63,016	62,592	63,122	65,272	59,443	748,224
4310 Pest Control	87,473	84,058	80,904	82,414	81,249	85,070	81,106	89,050	88,326	80,526	85,273	80,966	1,006,415
4320 Trash Removal	26,916	28,548	30,331	27,789	28,383	28,681	30,330	27,245	28,787	28,487	27,969	28,655	342,121
4330 Elevator Contract	13,051	14,063	14,144	13,697	14,211	13,357	13,360	13,557	13,074	13,295	14,014	14,345	164,169

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Valuation Discussion

The going-in capitalization rate of 6.14% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.73x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 7.1% annually with renewal retention above 90.7%. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Operating expenses totaled $102,000 or approximately 37.56 per square foot, with real estate taxes representing the largest line item.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. Service requests are tracked through a work-order system with an average completion time of 28 hours. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 5 additional team members.

Operating Performance

Effective gross income for the trailing period was $197,000, representing a 8.2% increase over the prior year. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Resident turnover has averaged 6.3% annually with renewal retention above 88.3%. The going-in capitalization rate of 6.51% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Operating expenses totaled $338,000 or approximately 23.41 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 7.2% annually with renewal retention above 96.2%.

Leasing and Marketing

Average in-place rent is $2,106 per month against an average unit size of 823 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Service requests are tracked through a work-order system with an average completion time of 43 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Collections for the period were 88.8% of billed charges, with bad debt of 7.9% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members.

Operating Performance

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4340 Fire & Life Safety	91,372	94,965	87,734	91,957	91,320	87,098	88,775	95,859	91,818	96,507	95,316	88,701	1,101,422
4350 Security	56,463	58,053	56,379	58,546	60,814	61,394	54,086	61,580	54,614	61,893	60,813	55,815	700,451
4360 Electricity - Common	63,371	62,992	71,185	68,199	68,859	67,796	66,404	69,259	69,023	64,942	71,599	65,948	809,577
4370 Gas - Common	27,451	25,312	27,197	26,119	28,361	26,380	27,875	28,720	27,436	27,100	26,063	28,289	326,302
4380 Water & Sewer	49,919	56,607	56,868	56,473	53,922	54,255	51,392	50,712	49,887	56,452	53,442	51,621	641,553
4390 Telephone/Internet	83,136	91,362	91,102	87,899	88,177	87,069	84,475	84,064	88,920	86,669	91,974	82,471	1,047,318
4400 Advertising	25,345	25,587	22,676	23,892	23,651	23,168	25,642	25,615	25,658	25,028	24,482	25,251	295,994
4410 Resident Events	35,050	35,197	35,380	34,301	36,366	34,041	34,788	33,057	33,672	34,471	37,434	37,488	421,245
4420 Office Supplies	87,827	84,379	88,039	91,405	89,688	89,439	86,712	87,118	92,442	84,557	84,932	81,872	1,048,410
4430 Legal & Professional	53,409	49,614	54,669	53,930	48,526	52,588	49,709	49,519	53,404	55,621	52,182	50,567	623,739
4440 Accounting & Audit	64,427	65,462	66,406	61,586	66,428	61,324	65,932	64,200	62,469	64,047	60,590	65,598	768,469
4450 Licenses & Permits	34,203	34,221	36,078	33,245	35,331	32,302	33,771	35,486	34,075	32,466	34,850	34,764	410,791
4460 Management Fee	77,311	68,936	73,362	69,224	73,974	72,937	76,039	70,082	77,203	74,618	72,301	77,337	883,324
4470 Property Insurance	14,173	14,175	13,748	13,918	12,954	13,056	13,445	13,378	13,965	14,264	12,869	14,105	164,050
4480 Real Estate Taxes	24,655	25,328	23,608	23,806	23,632	23,537	23,437	25,981	23,064	24,154	23,636	23,091	287,929
4490 Asset Management Fee	65,806	72,410	64,292	67,693	71,074	66,774	65,298	72,568	68,019	71,541	65,015	65,950	816,439
4500 Replacement Reserves	53,016	53,049	53,784	53,403	53,551	53,299	51,388	54,236	49,539	47,750	48,313	53,651	624,978
4510 Roof Repairs	21,683	22,990	24,526	23,591	23,606	23,517	23,363	23,343	24,300	23,111	24,140	23,961	282,130
4520 Parking Lot Repairs	26,070	24,516	27,086	25,693	24,132	25,517	25,807	25,885	27,060	26,999	23,658	25,982	308,405
4530 Signage	43,625	43,419	41,271	39,646	44,617	42,708	40,229	40,442	42,572	43,386	44,160	41,197	507,272
4540 Tenant Improvements	61,418	59,656	59,241	58,804	58,630	58,565	59,030	54,273	59,033	56,180	54,275	55,536	694,641
4550 Leasing Commissions	50,019	46,054	50,567	45,276	46,437	47,687	45,218	49,794	47,372	46,417	48,940	51,170	574,951
4000 Gross Potential Rent	769,138	792,477	769,862	796,837	736,948	780,103	811,073	735,016	748,379	789,079	825,782	727,029	9,281,722
4010 Loss to Lease	148,140	147,169	142,080	143,310	133,070	130,669	131,255	139,442	136,244	138,037	133,037	141,641	1,664,094
4020 Vacancy Loss	353,128	333,568	364,080	348,935	340,785	361,033	349,808	379,040	367,645	361,431	361,410	334,228	4,255,091
4030 Concessions	266,849	252,762	238,602	259,141	255,595	243,039	264,796	249,536	265,492	236,389	260,271	238,310	3,030,783
4040 Bad Debt	375,149	362,091	342,812	347,297	339,738	339,637	336,756	356,973	333,650	339,197	329,001	336,645	4,138,945
4050 Late Fees	333,176	309,221	295,189	303,918	299,145	307,980	303,163	306,902	317,935	328,003	301,556	308,095	3,714,280
4060 Utility Reimbursements	231,576	217,637	220,690	237,939	220,403	223,035	225,358	217,536	217,669	216,387	220,430	214,242	2,662,903
4070 Parking Income	644,365	686,017	684,559	608,375	662,577	646,679	655,803	681,019	665,253	604,189	617,619	652,544	7,809,000
4080 Application Fees	118,414	116,121	114,540	118,742	116,131	111,046	111,852	116,935	113,660	117,320	123,291	115,642	1,393,694
4090 Pet Rent	617,328	703,069	630,124	624,486	655,428	688,278	627,566	630,661	673,927	650,744	633,074	655,460	7,790,143
4100 Laundry Income	453,289	431,269	441,511	427,836	409,327	458,371	419,385	428,609	457,593	427,442	436,399	415,802	5,206,832
4110 Cable/Internet Revenue	400,746	383,675	407,330	389,142	394,619	373,361	398,165	401,666	419,164	376,232	416,472	387,763	4,748,337
4120 CAM Reimbursements	608,617	678,225	640,773	600,378	666,864	626,439	661,784	645,875	618,502	669,496	618,312	647,161	7,682,425
4130 Tax Reimbursements	189,327	183,131	183,355	172,401	184,847	172,963	175,492	177,384	182,164	176,272	175,052	186,452	2,158,839
4140 Insurance Reimbursemen	626,366	598,105	606,612	665,180	597,216	625,378	653,015	613,552	585,622	646,803	645,022	652,891	7,515,763
4150 Percentage Rent	330,883	343,098	356,555	363,608	345,813	369,140	339,192	362,040	339,706	361,546	352,593	372,833	4,237,006
4160 Misc. Income	640,283	654,769	628,252	612,575	638,810	625,852	651,388	636,930	607,790	671,263	652,556	661,582	7,682,051
4170 Payroll - Management	11,676	11,171	11,419	12,219	11,217	11,739	11,224	10,968	11,929	11,344	11,188	11,058	137,153
4180 Payroll - Leasing	76,346	68,587	76,006	73,529	68,299	69,440	73,876	70,668	74,393	72,437	76,573	68,143	868,297
4190 Payroll - Maintenance	44,442	42,806	40,827	42,294	40,951	40,864	40,391	41,044	44,041	41,293	41,054	44,107	504,116
4200 Payroll Taxes & Benefits	32,081	35,149	34,141	33,325	32,501	35,689	32,041	33,126	32,598	33,129	33,899	34,376	402,056
4210 Repairs - Plumbing	34,510	36,575	35,137	37,630	34,404	35,178	33,809	37,905	33,961	35,504	37,154	33,510	425,277
4220 Repairs - HVAC	66,734	68,158	71,766	66,401	65,841	69,785	70,167	71,147	67,842	75,019	73,484	74,897	841,241

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Effective gross income for the trailing period was $64,000, representing a 8.9% increase over the prior year. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Operating expenses totaled $421,000 or approximately 40.39 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $260,000, representing a 12.4% increase over the prior year.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Resident turnover has averaged 4.3% annually with renewal retention above 91.6%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Collections for the period were 88.1% of billed charges, with bad debt of 7.3% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 3 hours. Resident turnover has averaged 7.8% annually with renewal retention above 92.2%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Valuation Discussion

Debt service coverage ratio was 8.18x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 5.08% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $349,000 or approximately 13.94 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $350,000, representing a 12.2% increase over the prior year.

The going-in capitalization rate of 6.63% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Debt service coverage ratio was 6.13x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $355,000 or approximately 32.26 per square foot, with real estate taxes representing the largest line item.

Management Commentary

Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Collections for the period were 97.0% of billed charges, with bad debt of 4.8% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 13 hours. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Average in-place rent is $2,106 per month against an average unit size of 823 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Financial Analysis

Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 8.04x on a trailing basis against a covenant minimum of 1.20x. Resident turnover has averaged 7.8% annually with renewal retention above 95.2%. Operating expenses totaled $138,000 or approximately 22.75 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.96% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4290 Snow Removal	36,358	39,358	38,077	36,906	36,174	37,608	38,396	36,158	37,012	34,859	36,215	34,515	441,635
4300 Janitorial	22,968	23,907	25,105	24,935	24,649	22,347	23,464	25,134	22,654	23,263	23,172	23,097	284,697
4310 Pest Control	37,857	42,391	39,682	41,434	40,272	40,256	37,620	41,954	40,124	42,682	38,082	39,097	481,451
4320 Trash Removal	46,547	48,795	48,781	49,521	44,580	46,024	49,051	46,919	46,499	48,154	47,093	48,354	570,316
4330 Elevator Contract	33,713	35,469	32,984	36,034	34,367	35,960	33,774	37,380	35,300	34,363	35,413	33,009	417,766
4340 Fire & Life Safety	24,314	23,770	25,241	25,404	24,369	26,441	26,658	25,541	25,330	24,127	24,398	25,144	300,736
4350 Security	22,618	22,242	22,451	23,574	22,102	23,200	23,121	20,892	22,383	21,067	22,705	22,844	269,199
4360 Electricity - Common	16,678	16,287	16,203	18,050	16,776	17,294	16,489	17,535	16,221	16,543	17,039	18,242	203,358
4370 Gas - Common	16,766	16,979	17,031	19,059	18,442	17,265	17,131	18,823	16,984	19,147	18,039	17,299	212,965
4380 Water & Sewer	90,883	93,820	94,628	93,773	91,700	93,913	91,479	87,223	95,242	90,070	99,495	94,662	1,116,887
4390 Telephone/Internet	45,597	45,578	42,652	43,495	43,816	44,595	43,013	43,288	40,905	43,737	42,218	42,784	521,677
4400 Advertising	75,420	67,440	68,563	67,452	76,534	74,029	69,769	70,828	70,926	70,123	74,550	68,855	854,489
4410 Resident Events	13,410	14,190	13,401	14,093	13,093	13,125	13,142	12,543	12,822	12,632	14,075	12,658	159,182
4420 Office Supplies	80,390	84,732	79,050	76,457	82,179	83,617	80,593	79,736	74,956	77,260	75,360	79,936	954,265
4430 Legal & Professional	23,806	22,341	22,218	21,709	24,524	22,085	22,148	23,710	22,915	23,342	23,176	21,637	273,611
4440 Accounting & Audit	84,613	86,183	81,865	82,672	82,802	87,454	88,328	81,415	82,532	83,950	83,786	85,977	1,011,578
4450 Licenses & Permits	17,468	17,277	16,018	16,070	16,263	16,067	15,445	16,154	17,209	17,423	16,176	16,506	198,077
4460 Management Fee	85,244	80,541	81,999	85,972	87,315	87,014	87,274	79,558	80,533	88,291	83,414	85,631	1,012,784
4470 Property Insurance	89,219	93,835	95,299	85,165	91,463	88,645	96,712	85,943	91,566	93,491	89,349	91,277	1,091,964
4480 Real Estate Taxes	80,762	72,951	70,471	78,916	74,130	79,538	75,065	72,512	70,634	76,922	76,709	71,574	900,186
4490 Asset Management Fee	17,191	15,544	15,331	15,716	15,753	15,501	17,207	16,505	16,491	16,000	15,199	15,908	192,345
4500 Replacement Reserves	32,252	29,824	29,879	30,886	29,101	30,172	31,598	31,325	32,492	30,514	32,650	31,556	372,250
4510 Roof Repairs	58,781	55,165	61,205	58,731	62,259	62,202	62,057	59,360	57,872	60,769	62,369	60,853	721,623
4520 Parking Lot Repairs	68,125	71,155	63,828	66,363	66,898	70,203	70,381	67,138	63,226	64,085	71,779	65,478	808,661
4530 Signage	46,045	43,686	40,970	44,786	45,563	42,571	45,460	43,750	42,264	45,768	45,156	43,498	529,517
4540 Tenant Improvements	75,671	75,051	72,817	70,926	76,442	67,862	72,209	76,086	76,553	75,274	70,111	68,132	877,132
4550 Leasing Commissions	20,143	20,182	18,973	19,685	20,810	21,162	20,803	20,705	20,000	20,131	20,456	20,430	243,480
4000 Gross Potential Rent	780,123	757,494	798,211	770,782	736,114	738,993	806,042	800,885	749,660	774,496	761,723	787,668	9,262,194
4010 Loss to Lease	8,738	8,642	8,878	8,683	8,848	8,356	8,787	8,118	8,184	8,142	8,476	8,321	102,174
4020 Vacancy Loss	458,300	429,398	420,651	448,518	458,361	428,133	450,983	463,798	435,789	454,066	448,020	443,053	5,339,070
4030 Concessions	439,777	428,729	415,539	454,735	455,342	407,414	404,341	405,912	455,713	425,867	400,795	418,602	5,112,766
4040 Bad Debt	605,596	643,794	612,792	648,465	690,957	655,513	638,029	644,493	651,258	655,898	618,133	646,992	7,711,921
4050 Late Fees	509,244	558,164	533,764	489,614	521,735	532,276	490,470	491,978	487,790	522,942	520,688	547,350	6,206,014
4060 Utility Reimbursements	518,126	492,985	472,134	487,987	523,601	463,821	489,370	486,136	476,210	494,072	521,946	480,306	5,906,693
4070 Parking Income	161,478	172,253	163,428	161,308	165,598	183,640	183,044	181,091	166,555	178,295	166,178	162,658	2,045,524
4080 Application Fees	224,080	222,925	236,449	235,746	230,280	233,952	237,554	220,480	235,909	230,059	242,863	233,621	2,783,919
4090 Pet Rent	633,800	668,964	635,815	676,904	638,281	628,377	648,455	682,498	656,806	701,385	649,660	683,908	7,904,854
4100 Laundry Income	509,180	515,455	475,246	460,681	494,955	472,235	511,367	476,255	462,307	482,133	487,540	501,434	5,848,788
4110 Cable/Internet Revenue	70,053	65,758	70,910	70,770	62,497	67,038	69,413	63,293	68,312	62,113	70,330	67,745	808,232
4120 CAM Reimbursements	667,531	725,043	720,560	656,369	673,884	660,082	675,729	677,595	714,173	716,384	716,630	676,495	8,280,475
4130 Tax Reimbursements	493,780	565,638	503,667	529,470	495,771	517,196	561,487	507,448	509,704	546,529	511,554	528,009	6,270,254
4140 Insurance Reimbursemen	351,537	378,622	358,457	358,458	359,158	389,162	372,139	363,108	366,536	345,007	387,418	366,608	4,396,211
4150 Percentage Rent	552,413	492,119	525,559	533,772	494,182	529,266	522,594	511,387	503,870	504,202	521,700	563,770	6,254,835
4160 Misc. Income	48,145	45,126	45,287	50,880	49,501	45,600	48,010	51,041	47,091	48,661	44,658	49,940	573,941
4170 Payroll - Management	23,491	23,703	24,483	24,184	23,250	23,692	23,982	22,948	24,993	24,392	24,281	23,104	286,503
4180 Payroll - Leasing	48,254	48,935	52,376	47,832	48,563	49,116	49,834	52,217	50,968	48,359	48,084	48,693	593,233
4190 Payroll - Maintenance	88,995	89,065	90,303	91,992	96,352	91,066	91,009	92,709	94,186	84,322	94,630	91,536	1,096,166

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Income and Expense Review

Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 13.8% annually with renewal retention above 92.3%. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 5.72x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Operating expenses totaled $457,000 or approximately 17.49 per square foot, with real estate taxes representing the largest line item.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 7 hours. Resident turnover has averaged 4.4% annually with renewal retention above 91.7%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Collections for the period were 94.8% of billed charges, with bad debt of 7.7% of gross potential income.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Service requests are tracked through a work-order system with an average completion time of 34 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 26th business day. Average in-place rent is $2,106 per month against an average unit size of 823 square feet.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $125,000, representing a 10.9% increase over the prior year. Operating expenses totaled $77,000 or approximately 8.03 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.99x on a trailing basis against a covenant minimum of 1.20x.

Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 8.6% annually with renewal retention above 93.2%.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Resident turnover has averaged 8.6% annually with renewal retention above 90.0%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members.

Operating Performance

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $265,000, representing a 8.0% increase over the prior year. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 7.27% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $357,000, representing a 3.5% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	10,091	9,200	9,959	9,701	10,396	9,750	9,787	10,409	10,245	9,389	10,392	9,492	118,811
4210 Repairs - Plumbing	9,076	9,012	8,350	8,766	9,063	8,964	9,410	9,259	8,612	9,017	9,021	8,414	106,963
4220 Repairs - HVAC	82,147	82,312	79,069	74,679	74,542	82,499	73,140	74,880	76,495	77,449	82,844	80,949	941,005
4230 Repairs - Electrical	38,797	39,648	38,715	38,044	39,444	39,861	38,788	37,506	36,692	39,828	36,024	39,508	462,856
4240 Repairs - Appliances	56,093	58,745	54,988	58,699	55,149	60,255	60,286	59,970	61,242	58,116	59,309	54,267	697,120
4250 Painting & Decorating	89,563	92,831	91,314	88,033	96,008	94,231	97,546	89,250	88,055	93,624	85,406	91,551	1,097,411
4260 Flooring	41,569	44,339	43,584	39,667	44,644	39,949	43,353	44,818	42,380	41,593	40,539	39,304	505,741
4270 Make-Ready / Turnover	25,060	23,254	24,788	24,774	22,574	25,074	24,401	24,706	23,666	23,288	23,021	22,478	287,083
4280 Landscaping Contract	93,617	89,733	87,085	90,169	85,101	83,414	83,764	88,211	90,797	83,593	82,943	86,613	1,045,040
4290 Snow Removal	63,411	61,484	63,622	57,376	59,825	57,674	59,679	62,974	62,386	60,058	58,553	61,427	728,469
4300 Janitorial	85,122	89,208	87,331	93,542	93,530	84,189	84,211	89,508	92,512	89,899	90,946	86,404	1,066,402
4310 Pest Control	84,286	84,013	89,138	88,452	91,599	86,406	84,624	84,058	81,721	87,786	83,200	84,440	1,029,723
4320 Trash Removal	19,096	19,611	20,416	19,609	19,710	19,912	20,593	19,282	20,279	18,824	19,494	19,535	236,362
4330 Elevator Contract	18,961	20,181	20,014	20,830	19,278	19,511	18,889	20,112	20,816	20,994	20,856	18,968	239,410
4340 Fire & Life Safety	9,061	9,755	8,618	9,198	9,384	9,334	9,807	9,589	8,633	9,217	9,587	8,600	110,781
4350 Security	98,322	88,227	97,098	93,650	97,994	97,557	88,545	87,083	95,322	94,242	91,698	89,123	1,118,862
4360 Electricity - Common	44,615	45,176	42,891	43,385	44,421	41,751	44,815	42,637	43,008	40,156	43,892	45,321	522,069
4370 Gas - Common	14,809	14,497	15,052	14,554	14,908	14,608	15,345	14,330	15,711	13,975	13,938	15,628	177,355
4380 Water & Sewer	16,884	16,009	18,115	17,317	16,348	16,690	17,109	17,924	16,304	17,558	17,287	17,362	204,910
4390 Telephone/Internet	91,175	83,225	82,176	91,242	88,577	83,795	90,406	89,587	81,444	90,234	90,556	85,614	1,048,032
4400 Advertising	92,271	86,122	89,034	87,341	88,141	86,572	87,887	86,059	84,300	88,329	92,804	83,691	1,052,550
4410 Resident Events	53,001	49,773	47,700	48,501	48,153	48,039	48,783	50,925	51,920	48,441	53,201	48,466	596,904
4420 Office Supplies	86,346	80,214	84,777	82,334	88,629	82,163	79,236	80,504	88,402	87,112	81,963	85,662	1,007,342
4430 Legal & Professional	16,477	15,474	15,420	16,549	16,101	15,349	15,867	14,810	16,903	16,808	15,285	14,748	189,790
4440 Accounting & Audit	66,821	67,267	68,723	63,085	65,269	68,040	66,156	66,425	68,252	61,341	62,751	67,333	791,463
4450 Licenses & Permits	88,188	84,844	84,243	79,600	85,054	88,745	86,155	79,735	84,332	89,585	91,327	86,938	1,028,745
4460 Management Fee	48,705	50,230	45,409	46,097	47,759	52,025	47,252	48,988	48,870	46,234	48,913	45,785	576,267
4470 Property Insurance	16,808	17,708	17,086	17,632	17,672	17,580	17,855	16,631	17,120	18,462	16,215	16,337	207,106
4480 Real Estate Taxes	16,571	17,315	16,956	16,814	17,519	15,883	16,817	16,003	16,911	17,453	17,744	17,612	203,598
4490 Asset Management Fee	58,471	57,565	59,069	56,317	56,935	58,735	58,175	57,901	56,396	58,799	58,685	56,845	693,894
4500 Replacement Reserves	8,701	9,132	9,085	9,167	8,555	9,096	9,021	8,249	8,245	8,478	8,581	9,083	105,393
4510 Roof Repairs	51,776	54,040	49,945	51,739	52,153	50,668	53,157	49,863	48,778	51,725	48,819	52,711	615,374
4520 Parking Lot Repairs	30,085	28,349	27,657	26,295	29,222	26,639	28,352	29,511	28,424	27,398	27,020	28,185	337,137
4530 Signage	94,554	87,049	91,247	86,998	96,410	94,684	90,143	92,987	92,959	95,859	93,102	86,937	1,102,931
4540 Tenant Improvements	22,988	22,417	23,180	22,036	20,792	21,723	22,099	20,416	21,197	21,771	22,420	22,602	263,640
4550 Leasing Commissions	15,685	16,904	17,857	17,103	16,555	16,437	17,080	17,377	16,039	17,698	16,612	16,293	201,640
4000 Gross Potential Rent	744,020	794,757	765,054	759,110	744,462	804,410	739,054	800,913	780,119	818,614	790,050	780,854	9,321,416
4010 Loss to Lease	329,646	327,621	363,752	325,184	337,310	369,268	356,183	367,291	339,917	357,833	354,539	343,909	4,172,454
4020 Vacancy Loss	482,703	487,961	525,704	491,022	536,084	523,722	533,648	480,176	528,736	479,928	512,065	503,252	6,085,001
4030 Concessions	536,649	578,569	609,359	536,129	585,697	558,085	596,744	546,172	612,998	549,515	607,994	551,660	6,869,572
4040 Bad Debt	288,166	296,306	298,676	314,491	310,616	299,674	330,464	326,078	301,131	301,597	298,934	299,865	3,665,998
4050 Late Fees	303,699	307,617	297,745	281,877	309,476	278,048	285,266	305,701	299,222	287,126	296,305	297,690	3,549,772
4060 Utility Reimbursements	415,816	452,582	432,858	439,230	422,759	442,832	441,519	433,033	465,506	420,745	415,947	426,111	5,208,937
4070 Parking Income	474,492	474,613	503,821	538,554	516,838	507,063	518,926	514,826	537,537	471,658	516,835	516,164	6,091,326
4080 Application Fees	186,048	176,958	194,432	186,771	182,084	179,986	175,661	187,251	172,348	176,489	192,143	189,934	2,200,106
4090 Pet Rent	537,457	591,422	592,896	540,864	580,422	537,348	544,113	558,544	581,316	550,648	584,909	549,302	6,749,241
4100 Laundry Income	415,244	448,346	439,903	402,242	411,881	432,999	441,640	406,910	444,034	434,701	399,779	404,803	5,082,480

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Financial Analysis

Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Resident turnover has averaged 13.1% annually with renewal retention above 92.7%. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Operating expenses totaled $415,000 or approximately 16.30 per square foot, with real estate taxes representing the largest line item.

Debt service coverage ratio was 6.74x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $60,000 or approximately 45.74 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.90% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period.

Management Commentary

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day. Service requests are tracked through a work-order system with an average completion time of 24 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 35 additional team members.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 12 hours. Collections for the period were 90.4% of billed charges, with bad debt of 5.2% of gross potential income.

Operating Performance

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.15% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $123,000, representing a 13.5% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. Operating expenses totaled $453,000 or approximately 37.25 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $2,106 per month against an average unit size of 823 square feet.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 28 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Resident turnover has averaged 4.6% annually with renewal retention above 90.0%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day.

Service requests are tracked through a work-order system with an average completion time of 9 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 38 additional team members. Collections for the period were 96.7% of billed charges, with bad debt of 4.4% of gross potential income. Average in-place rent is $2,106 per month against an average unit size of 823 square feet.

Valuation Discussion

The going-in capitalization rate of 7.31% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 13.7% annually with renewal retention above 94.5%. Operating expenses totaled $192,000 or approximately 30.11 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. The going-in capitalization rate of 8.11% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Effective gross income for the trailing period was $298,000, representing a 13.3% increase over the prior year.

Leasing and Marketing

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4060 Utility Reimbursements	223,646	228,539	213,956	221,415	218,976	215,927	207,765	220,852	201,619	205,832	215,155	224,756	2,598,437
4070 Parking Income	109,514	119,965	119,103	114,294	115,420	109,853	106,493	112,401	106,214	119,618	110,294	117,385	1,360,555
4080 Application Fees	677,515	678,571	708,710	623,522	647,280	651,244	619,641	649,798	635,751	690,019	676,250	701,536	7,959,836
4090 Pet Rent	544,795	534,312	523,359	522,400	515,025	490,908	512,844	527,382	520,214	523,708	543,923	492,007	6,250,877
4100 Laundry Income	156,294	175,431	174,395	157,927	161,517	163,373	179,290	171,919	167,410	173,589	170,148	170,622	2,021,914
4110 Cable/Internet Revenue	442,169	412,206	420,215	447,955	411,427	418,244	450,219	439,745	408,223	448,739	415,800	404,902	5,119,844
4120 CAM Reimbursements	595,243	644,400	560,964	615,861	611,763	591,764	601,894	605,943	574,746	573,503	563,227	622,355	7,161,663
4130 Tax Reimbursements	565,092	601,184	547,132	585,249	590,468	575,417	600,601	553,030	600,087	603,344	573,500	555,238	6,950,342
4140 Insurance Reimbursemen	161,788	171,466	179,580	164,987	160,440	167,392	158,242	163,139	166,152	166,809	180,314	165,302	2,005,613
4150 Percentage Rent	354,716	360,878	355,338	369,388	348,930	325,004	339,207	346,889	344,581	325,474	336,613	341,184	4,148,201
4160 Misc. Income	214,087	196,641	216,869	204,081	213,654	199,479	218,372	203,751	206,285	217,429	211,880	220,304	2,522,831
4170 Payroll - Management	64,346	71,956	70,441	66,120	73,730	73,307	67,199	68,027	65,092	66,776	67,925	70,052	824,971
4180 Payroll - Leasing	29,623	31,974	28,994	28,165	30,464	30,677	30,522	30,577	29,553	30,578	29,308	28,053	358,487
4190 Payroll - Maintenance	15,612	14,647	14,320	14,280	14,607	14,040	15,430	15,773	14,626	15,181	14,957	15,658	179,131
4200 Payroll Taxes & Benefits	54,097	49,337	48,529	53,324	50,942	49,048	55,414	48,550	52,678	51,639	55,285	48,882	617,725
4210 Repairs - Plumbing	14,290	13,903	13,857	13,957	14,551	15,040	13,740	14,430	15,069	13,564	15,516	15,082	173,001
4220 Repairs - HVAC	26,584	23,770	26,319	25,742	26,029	26,517	26,525	25,560	24,721	24,488	25,547	26,649	308,450
4230 Repairs - Electrical	53,746	53,917	49,123	51,294	51,337	54,173	53,824	55,081	54,759	52,423	55,727	55,748	641,152
4240 Repairs - Appliances	68,996	69,768	65,981	67,961	66,870	67,886	68,526	63,360	68,244	64,930	67,851	71,320	811,694
4250 Painting & Decorating	48,827	46,594	47,869	47,582	48,709	48,795	45,124	45,858	51,199	46,394	49,215	50,388	576,554
4260 Flooring	61,417	61,343	55,507	56,434	56,826	55,176	60,396	59,735	57,303	57,603	55,228	61,691	698,661
4270 Make-Ready / Turnover	18,446	19,908	20,863	19,354	20,300	19,924	20,963	20,536	20,181	21,011	19,388	18,381	239,255
4280 Landscaping Contract	79,731	80,378	73,116	77,558	76,974	71,707	80,807	74,232	72,755	79,148	74,042	71,630	912,080
4290 Snow Removal	79,195	82,969	77,339	77,097	78,313	77,718	76,475	76,322	76,345	79,831	79,623	77,037	938,265
4300 Janitorial	68,301	67,913	70,267	66,980	66,897	65,635	72,170	65,922	66,005	70,031	67,827	63,618	811,566
4310 Pest Control	19,498	21,313	20,516	19,639	19,167	20,552	19,815	20,986	18,837	20,934	20,692	19,702	241,651
4320 Trash Removal	91,045	80,596	81,356	90,874	80,893	83,249	88,449	81,611	87,012	80,258	82,670	86,232	1,014,245
4330 Elevator Contract	9,270	9,195	9,521	10,105	10,085	9,420	9,502	9,169	9,783	10,227	10,344	9,268	115,892
4340 Fire & Life Safety	46,267	44,173	46,075	46,992	47,621	43,351	44,186	43,834	46,714	43,263	47,718	48,675	548,869
4350 Security	16,968	17,855	16,970	17,709	17,222	17,886	17,675	18,253	16,990	18,099	17,143	18,438	211,208
4360 Electricity - Common	62,431	61,592	67,281	59,479	64,360	61,736	60,473	60,955	64,270	61,717	61,831	65,613	751,740
4370 Gas - Common	62,875	67,131	70,922	62,347	69,004	68,167	65,893	63,990	62,964	68,829	64,459	69,339	795,921
4380 Water & Sewer	92,168	81,242	82,331	89,354	83,552	84,897	93,082	82,556	84,691	84,099	86,790	90,408	1,035,170
4390 Telephone/Internet	17,627	17,494	18,093	18,663	18,175	17,258	17,707	17,816	16,365	18,567	17,317	18,005	213,086
4400 Advertising	49,315	52,197	53,499	50,604	49,137	46,608	53,472	52,538	51,494	51,318	49,881	50,999	611,063
4410 Resident Events	31,270	30,407	31,232	28,213	30,070	29,406	27,786	28,354	31,247	29,142	28,880	28,435	354,443
4420 Office Supplies	63,175	60,807	59,466	65,416	61,668	60,454	62,984	57,301	63,484	63,468	59,699	58,227	736,148
4430 Legal & Professional	59,584	61,128	58,364	59,053	56,858	54,550	55,210	60,400	58,389	58,346	55,365	61,664	698,911
4440 Accounting & Audit	17,758	17,298	17,780	17,871	16,488	17,604	17,698	18,175	17,295	16,391	15,935	17,090	207,383
4450 Licenses & Permits	58,993	55,737	52,460	52,525	58,150	56,365	53,886	53,006	58,848	51,365	57,945	56,846	666,125
4460 Management Fee	38,816	37,453	37,664	41,490	41,403	37,691	42,680	42,416	41,416	38,260	41,881	41,277	482,447
4470 Property Insurance	54,484	50,286	52,396	56,416	55,857	54,688	56,489	51,266	56,616	51,227	50,982	51,519	642,225
4480 Real Estate Taxes	59,937	63,577	57,484	58,607	64,598	59,425	59,828	57,006	63,888	57,852	64,116	56,833	723,153
4490 Asset Management Fee	80,919	78,989	79,712	76,919	84,070	82,655	83,832	85,899	82,352	74,962	81,312	84,529	976,151
4500 Replacement Reserves	39,745	39,484	41,919	39,221	41,647	44,133	40,807	44,220	39,946	39,226	41,730	40,737	492,816
4510 Roof Repairs	25,980	24,986	24,067	23,105	25,784	24,204	25,280	23,556	23,731	24,246	23,869	23,293	292,102

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Operating Performance

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $295,000, representing a 11.0% increase over the prior year. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 6.67x on a trailing basis against a covenant minimum of 1.20x.

Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. Effective gross income for the trailing period was $122,000, representing a 6.1% increase over the prior year.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 3.5% annually with renewal retention above 89.3%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Collections for the period were 93.6% of billed charges, with bad debt of 4.6% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members.

Valuation Discussion

Debt service coverage ratio was 5.25x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $310,000, representing a 3.0% increase over the prior year. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses.

Operating expenses totaled $289,000 or approximately 29.05 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 8.8% annually with renewal retention above 96.3%. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.27% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

Collections for the period were 90.3% of billed charges, with bad debt of 5.6% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 15 hours. Resident turnover has averaged 6.1% annually with renewal retention above 93.0%.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $2,106 per month against an average unit size of 823 square feet. Resident turnover has averaged 12.0% annually with renewal retention above 88.9%. Collections for the period were 89.9% of billed charges, with bad debt of 3.2% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 7.43% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $211,000, representing a 3.3% increase over the prior year.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4020 Vacancy Loss	84,624	92,768	92,022	90,982	90,821	85,763	93,666	91,361	90,231	84,612	90,910	87,760	1,075,519
4030 Concessions	342,094	308,439	335,303	330,768	340,182	327,765	340,810	331,661	308,112	307,291	306,061	343,088	3,921,574
4040 Bad Debt	551,664	540,838	577,697	585,171	540,108	566,571	516,016	518,025	547,097	586,688	551,120	553,746	6,634,741
4050 Late Fees	629,793	678,378	639,574	707,896	687,020	697,887	700,623	700,390	676,322	663,890	635,362	632,976	8,050,112
4060 Utility Reimbursements	490,040	444,355	481,888	480,280	460,695	485,740	487,664	435,791	492,567	453,593	478,329	477,322	5,668,267
4070 Parking Income	112,824	119,774	114,875	113,027	120,997	116,683	127,068	123,300	128,047	113,160	123,582	123,605	1,436,942
4080 Application Fees	384,785	369,461	401,968	373,202	416,933	413,570	407,212	414,112	365,742	395,250	374,885	398,627	4,715,747
4090 Pet Rent	132,295	133,523	136,753	130,070	139,820	142,534	132,755	139,949	142,210	142,851	134,620	132,246	1,639,628
4100 Laundry Income	196,840	195,627	208,384	200,351	195,552	193,522	196,658	208,144	188,101	192,730	208,541	205,495	2,389,945
4110 Cable/Internet Revenue	685,624	688,792	640,834	662,360	698,442	673,382	653,803	657,802	655,333	659,179	711,294	623,366	8,010,211
4120 CAM Reimbursements	206,537	221,244	206,082	221,345	220,349	199,671	203,619	224,430	198,752	197,110	216,510	211,190	2,526,838
4130 Tax Reimbursements	533,738	559,512	524,158	554,738	567,173	566,576	534,231	557,934	579,361	566,046	527,670	548,093	6,619,230
4140 Insurance Reimbursemen	185,871	178,701	183,187	173,771	178,900	173,375	183,991	176,990	174,412	177,978	185,362	177,907	2,150,446
4150 Percentage Rent	581,503	560,197	514,563	574,084	571,329	541,867	547,638	514,828	544,197	555,153	552,484	563,928	6,621,773
4160 Misc. Income	543,582	531,422	562,602	540,607	544,072	545,316	572,075	575,632	531,184	577,601	530,833	526,553	6,581,478
4170 Payroll - Management	60,107	61,134	55,973	59,884	57,861	54,604	59,109	57,159	58,899	59,463	55,261	57,333	696,786
4180 Payroll - Leasing	26,919	26,290	26,584	28,040	26,618	26,785	27,758	28,053	27,648	28,455	27,066	29,096	329,313
4190 Payroll - Maintenance	51,852	50,952	50,910	51,433	55,295	51,162	52,111	52,033	52,905	51,511	57,445	54,703	632,313
4200 Payroll Taxes & Benefits	68,507	64,329	68,278	65,504	68,480	72,652	64,673	64,627	67,887	72,914	64,996	64,340	807,187
4210 Repairs - Plumbing	26,498	25,480	23,882	24,761	24,602	26,723	24,993	24,844	24,098	23,814	24,019	26,341	300,055
4220 Repairs - HVAC	34,882	33,535	32,019	32,803	35,976	32,915	34,885	35,835	31,498	34,792	34,508	32,921	406,570
4230 Repairs - Electrical	84,451	87,403	84,847	90,020	94,686	91,078	95,005	86,579	95,235	86,035	87,239	94,433	1,077,012
4240 Repairs - Appliances	8,958	8,769	9,000	8,897	8,666	8,460	8,426	9,491	8,258	8,499	8,436	8,991	104,851
4250 Painting & Decorating	59,920	63,588	59,643	64,820	59,095	65,432	62,163	59,263	62,707	61,059	67,096	66,240	751,025
4260 Flooring	67,874	65,622	65,552	64,337	62,472	67,237	61,226	66,862	66,198	67,254	68,770	63,292	786,695
4270 Make-Ready / Turnover	53,405	52,747	55,009	55,595	52,785	50,176	54,894	54,459	51,968	51,836	56,651	55,959	645,484
4280 Landscaping Contract	58,409	54,824	55,965	54,574	54,844	53,444	54,290	59,242	55,825	59,736	57,000	56,361	674,514
4290 Snow Removal	54,876	54,483	56,925	53,796	56,365	53,806	56,006	53,385	57,419	57,160	54,280	51,270	659,771
4300 Janitorial	89,249	97,462	96,334	90,421	86,224	91,136	97,544	94,595	93,077	92,612	90,416	95,223	1,114,293
4310 Pest Control	78,038	72,224	69,188	71,168	77,623	75,757	70,717	77,860	70,582	70,987	75,619	71,774	881,537
4320 Trash Removal	37,608	35,149	34,419	37,585	35,736	36,670	39,190	34,251	34,809	34,336	37,523	37,793	435,070
4330 Elevator Contract	55,698	54,344	52,179	50,887	52,527	49,387	49,467	53,489	50,401	54,410	49,219	51,695	623,703
4340 Fire & Life Safety	76,727	70,588	72,308	77,642	76,714	74,426	79,051	71,694	69,863	78,888	70,750	76,258	894,908
4350 Security	20,472	21,827	21,173	21,849	22,490	21,799	19,753	21,432	20,812	21,635	21,951	22,678	257,873
4360 Electricity - Common	39,576	42,045	40,604	36,735	38,394	38,350	37,784	38,432	41,893	36,587	39,389	40,481	470,270
4370 Gas - Common	67,773	70,779	68,706	66,878	66,729	66,617	71,428	64,996	65,052	72,222	65,399	65,748	812,326
4380 Water & Sewer	27,624	27,376	26,058	27,080	28,729	27,333	26,060	25,498	27,658	26,869	27,244	27,421	324,949
4390 Telephone/Internet	97,296	91,238	86,985	92,397	97,818	89,602	88,005	87,133	93,422	97,218	95,118	87,945	1,104,177
4400 Advertising	21,875	23,072	23,709	22,752	23,696	23,297	22,585	24,303	23,407	21,412	22,855	21,380	274,342
4410 Resident Events	52,556	50,475	51,786	54,088	51,586	51,386	51,909	53,480	53,546	52,560	50,176	56,084	629,632
4420 Office Supplies	69,502	66,767	74,223	70,697	67,939	72,230	74,460	74,595	70,434	67,197	73,505	71,198	852,745
4430 Legal & Professional	82,558	79,889	76,159	83,369	83,454	79,524	75,115	84,452	80,716	77,861	76,464	82,114	961,675
4440 Accounting & Audit	36,478	33,017	32,954	33,821	35,300	36,314	35,616	35,232	36,693	32,599	36,848	34,593	419,463
4450 Licenses & Permits	50,197	44,726	48,407	49,346	48,783	44,191	46,128	47,338	48,753	48,989	47,652	49,678	574,187
4460 Management Fee	82,674	75,003	82,402	77,483	81,822	76,869	78,878	76,544	79,608	75,766	81,874	76,564	945,487
4470 Property Insurance	93,714	86,024	88,952	92,159	89,092	88,551	94,574	88,720	86,133	87,116	97,077	94,296	1,086,406
4480 Real Estate Taxes	26,538	27,156	27,388	28,008	25,511	27,875	27,378	28,283	28,644	28,761	27,750	26,445	329,738

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